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UNITED STATES BANKRUPTCY COURT
FOR THE DISTRICT OF IDAHO

In re: Redline Recreational Toys Inc., Debtor.	Case No. 24-bk-00388-ngh Chapter 11 Judge Noah G. Hillen

MOTION FOR APPROVAL OF COMPROMISE BETWEEN DEBTOR AND MONTANA BOAT RENTAL, LLC

NOTICE OF HEARING AND OPPORTUNITY TO OBJECT TO MOTION

No Objection. The Court may consider this request for an order without further notice or hearing unless a party in interest files an objection within 21 days of the date of service of this notice.

If an objection is not filed within the time permitted, the Court may consider that there is no opposition to the granting of the requested relief and may grant the relief without further notice or hearing.

Objection. Any objection shall set out the legal and/or factual basis for the objection. A copy of the objection shall be served on the movant.

Hearing on Objection. The objecting party shall also contact the Court's calendar clerk to schedule a hearing on the objection and file a separate notice of hearing.

Redline Recreational Toys Inc., the above captioned debtor and debtor in possession ("**Redline**" or the "**Debtor**"), through undersigned counsel, hereby submits this motion

for approval of compromise between the Debtor and Montana Boat Rental, LLC (the "**Motion**").

MEMORANDUM OF POINTS AND AUTHORITIES

I. SUMMARY OF RELIEF REQUESTED

By this Motion, the Debtor moves under Rule 9019 of the Federal Rules of Bankruptcy Procedure (the "**Bankruptcy Rules**") and section 105(a) of title 11 of the United States Code (the "**Bankruptcy Code**") for entry of an order, substantially in the form attached as Exhibit A hereto (the "**Proposed Order**"), approving the settlement agreement attached as Exhibit 1 to the Proposed Order (the "**Agreement**") settling disputes between the Debtor and creditor Montana Boat Rental, LLC ("**MBR**").

As set forth in the Motion, the Debtor's principal, Dustin Weinger ("**Weniger**"), transferred real estate encumbered by an MBR lien to the Debtor shortly before the petition date. It is the Debtor's position that the real estate is not an asset of the Debtor's estate. Furthermore, the real estate is currently under contract to be sold. By and through the proposed Agreement the parties agree that the real property is not an asset of the Debtor's estate and therefore it is not covered by the automatic stay under Section 362 of the Code, and that Mr. Weniger is given time to complete the sale of the real property, with the proceeds of the sale to be paid to all lienholders in order of their priority.

II. JURISIDICTION, VENUE, AND BASIS FOR RELIEF.

1. The Court has jurisdiction over this matter pursuant to 28 U.S.C. §§ 157 and 1334. This matter is a core proceeding within the meaning of 28 U.S.C. § 157(b)(2).

2. Venue in this Court is proper pursuant to 28 U.S.C. §§ 1408 and 1409.

3. The bases for the relief requested herein are section 105(a) of the Bankruptcy Code and Bankruptcy Rule 9019.

III. BACKGROUND

4. On or about July 1, 2020, Redline, Weniger, and Joseph Holbrook ("**Borrowers**"), executed a promissory note in favor of MBR in the principal sum of $215,331.92 (the "**Note**"), which represented outstanding rental obligations due and owing MBR, pursuant to numerous lease agreements. Concurrently with the execution of the Note, Weniger issued a Deed of which granted MBR an interest in certain real estate owned by Weniger with the address of 2792 E. Windsong Drive, Boise, ID 83712 (the "**Real Property**"), to secure the obligations owed under the Note.

5. The Deed of Trust was recorded on May 21, 2020, at the Ada County Recorder's office with Instrument No. 2020060230. On or about July 23, 2020, MBR agreed to amend the Note at the request of Redline and Weniger, wherein MBR advanced additional funds to Redline and Weniger, increasing the principal amount of the Note to $416,362.68.

6. The Borrowers defaulted under the terms of the Note, and MBR initiated a foreclosure sale of the Real Property ("**Foreclosure Sale**"), scheduled to take place on May 7, 2024.

7. On May 7, 2024, Weniger filed a chapter 13 bankruptcy, Case No. 24-00247, thus staying the Foreclosure Sale. Mr. Weniger's bankruptcy was later dismissed.

8. On June 20, 2024, Mr. Weniger executed a quitclaim deed transferring the Real Property from Weniger to Redline.

9. On that same day (the "**Petition Date**"), Redline filed a voluntary petition for relief under subchapter V of chapter 11 of the Bankruptcy Code, which commenced this case.

10. On or about July 4, 2024, Mr. Weniger and Ms. Amy Weniger, entered a contract for the sale of the Real Property with a sale price of $1,380,000.

11. To avoid the costs, delays, and uncertainties of unwinding the quitclaim transfer of the Real Property from Redline to Weniger, as well as allowing MBR to continue is foreclosure sale to allow Weniger to sell the Real Estate for the maximized amount, the Parties entered into the Agreement.

IV. BASIS FOR RELIEF.

Bankruptcy Rule 9019 provides that, after notice and a hearing, a court may approve a proposed compromise or settlement. Fed. R. Bankr. P. 9019(a). Section 105(a) of the Bankruptcy Code allows a court to "issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of [the Bankruptcy Code]." 11 U.S.C. § 105(a).

The decision of whether to approve or reject a proposed compromise is addressed to the sound discretion of the Court and is to be determined by the circumstances of each case. *In re Walsh Construction, Inc.* 669 F.2d 1325, 1328 (9th Cir. 1982); *In re Woodson*, 839 F.2d 610, 620 (9th Cir. 1988); *In re A&C Properties*, 784 F.2d 1377, 1381 (9th Cir. 1986), *cert. dented*, 479 U.S. 854, 107 S. Ct. 189 (1986).

More specifically, a Court should review the following factors in considering whether to approve a proposed settlement:

> (a) The probability of success in the litigation; (b) the difficulty, if any, to be encountered in the matter of collection; (c) the complexity of the litigation involved, and the expense, inconvenience and delay necessarily

> attending it; and (d) the paramount interests of the creditors and a proper deference to their reasonable views in the premises.

Woodson, *supra*, 839 F.2d at 620 (quoting *A&C Properties*, *supra*, 784 F.2d at 1381).

"Each factor need not be treated in a vacuum; rather, the factors should be considered as a whole to determine whether the settlement compares favorably with the expected rewards of litigation." *Grief & Co. v. Shapiro (In re W. Funding Inc.)*, 550 B.R. 841, 851 (9th Cir. BAP 2016), aff'd, 705 F. App'x 600 (9th Cir. 2017). Moreover, the bankruptcy court "need not rule upon disputed facts and questions of law, but only canvass the issues. A mini trial on the merits is not required." *Burton v. Ulrich (In re Schmitt)*, 215 B.R. 417, 423 (9th BAP 1997) (citations omitted). Otherwise, "there would be no point in compromising; the parties might as well go ahead and try the case." *Suter v. Goedert*, 396 B.R. 535, 548 (D. Nev. 2008) (citation and quotation marks omitted).

V. ANALYSIS

The compromise reflected in the Agreement is reasonable exercise of the Debtor's business judgment under the A&C Properties factors.

1. Probability of Success on the Merits.

The Debtor believes that the transfer of the Real Property to the estate is most likely a fraudulent transfer and that MBR would be successful in its motion for relief from stay and its subsequent litigation to avoid the transfer. By and through the Agreement and this Motion, Debtor and MBR intent to remove these procedural huddles from MBR and to stop the incurrence of legal fees by both the Debtor and MBR.

2. The Difficulty in Collection.

As the dispute revolves around a secure lien in real property, collection is not an issue. With that said, Debtor believes that by allowing the sale of the Real Property through

traditional channels and not through foreclosure, the Real Property is allowed to maximize its value for the benefit of both the Debtor and MBR.

3. The Complexity, Expense and Inconvenience of Litigation.

MBR's allegations are not complex. With that said, the Settlement allows the Mr. Weniger to maximize the value of the Real Property through a traditional sale process, thus allowing MBR to realize a larger distribution, if not a complete pay off, all while reducing MBR's procedural hurdles should the sale fall through.

4. The Paramount Interest of Creditors.

Finally, the Settlement is in the best interest of the Debtor's creditors as MBR is also a creditor of the Debtor. Through allowing the Settlement, MBR's claim in the Debtor's estate shall be reduced, if not extinguished, thus allowing more funds available to Debtor's remaining creditors.

CONCLUSION

For the reasons set forth herein, the Debtor respectfully requests that the Court grant the Motion, approving the Settlement.

DATED July 26, 2024.

/s/ Brian M. Rothschild
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